

The Complete Financial Guide for Young Couples

Let's assume, for instance, that a couple can put aside \$1,000 a year for the education of their children, who will reach college age in approximately 10 years. The \$10,000 they can save may not educate one child, much less two or three. So they're going to have to take some additional risks to achieve the growth they need.

The principle we'll be dealing with continually is the principle called "risk versus return." The higher rate of return that you need, the greater degree of risk you will have to assume. There's an old cliché that the post office has resurrected in recent years: "When a deal sounds too good to be true, it usually is." There are no free lunches.

INCOME GOAL. A couple entering retirement and looking for maximum income to live on will likely have this fourth objective. They need income, but they must also be concerned with the preservation of their assets. Once their needed income level is met, other assets can be invested to offset inflation. Let's assume that a couple is approaching retirement, and they have \$8,000 a year coming in through Social Security, but they know that it's going to cost them \$15,000 a year to live. Their primary concern is selecting investments that can earn \$7,000 a year.

The risk they must assume is determined by the \$7,000 income they need. If they have \$100,000 and need a 7 percent return, they will probably be able to use very secure investments like U.S. Treasury Bills. But if they only have \$50,000, T-bills won't do it. They'll need a 14 percent return, or at least as high as possible. So, they're going to have to take some additional risks. Hopefully, the more they know about investing, the lower the risk will be.

GROWTH GOAL. Everyone would like to have their investments grow. A growth strategy means that there is minimal immediate need for the funds but a sizable future need. Carried to the extreme, this strategy is called "get rich quick," in which case it is unscriptural. As Proverbs 28:22 says, "A man with an evil eye hastens after wealth, and does not know that want will come upon him."